



RESEARCH & INSIGHTS HUB

Crypto Correlations: Perception vs Reality

Correlations, betas and our market outlook for the rest of 2H24

[View report](#)



The fluctuations in crypto prices to start the month of August have been somewhat unnerving. The market shock pulled at the threads that connect different markets, triggered by the unwind of massive JPY-funded carry trades. Many assets including crypto, US stocks and gold all moved in tandem during this event, creating the perception of correlated markets. However, the reality is that the sheer size of the leverage unwind likely meant that many investors had limited discretion over what they could sell to meet their margin calls, acting as a drag across nearly all markets.

Nevertheless, stocks and crypto continue to share a relatively weak linear relationship, which we believe is (1) a function of the current monetary regime and (2) becoming more stable and predictable over time. Our empirical evidence shows that the dispersion of recent correlation values has actually been clustered inside a relatively small space – between 0 to 0.40 for at least the last ten months. The observable trend where higher inflation expectations have been associated with higher correlations appears to be anomalous, in our view, to the traditional relationship between these variables, caused by the intensity of the tightening cycle at that time.

That said, we expect market players to remain cautious about their risk exposure in the weeks ahead. Both ETH and SOL are currently showing greater sensitivity to the overall crypto market with higher betas of around 0.85 and 0.83, respectively. Previously, SOL had been the primary crypto “beta play” (i.e. more volatile than the overall market) for most of 2022 and 2023, but its risk profile has converged

with ETH's since late July – around the same time that spot ETH ETFs launched.

For more details, see our [full report](#).

Coinbase Markets Call

Stay up to date on the latest crypto and macro news, insights, and market intelligence.

[Watch the latest markets call →](#)

Weekly Market Commentary

Read the latest institutional crypto research on everything from tokenomics to NFTs, and more.

[View our most recent report →](#)



COINBASE and related logos are trademarks of Coinbase, Inc., or its Affiliates. The views and opinions expressed herein are those of the author(s) and do not necessarily reflect the views of Coinbase and summarizes information and articles with respect to cryptocurrencies or related topics. This material is for informational purposes only and is only intended for sophisticated investors, and is not (i) an offer, or solicitation of an offer, to invest in, or to buy or sell, any interests or shares, or to participate in any investment or trading strategy, (ii) intended to provide accounting, legal, or tax advice, or investment recommendations, or (iii) an official statement of Coinbase. No representation or warranty is made, expressed or implied, with respect to the accuracy or completeness of the information or to the future performance of any digital asset, financial instrument or other market or economic measure. The information is believed to be current as of the date indicated and may not be updated or otherwise revised to reflect information that subsequently became available or a change in circumstances after the date of publication. Coinbase, its affiliates and its employees do not make any representation or warranty, expressed or implied, as to accuracy or completeness of the information or any other information transmitted or made available. Investing in cryptocurrency comes with risk. Certain statements in this document provide predictions and there is no guarantee that such predictions are currently accurate or will ultimately be realized. Prior results that are presented here are not guaranteed and prior results do not guarantee future performance. Recipients should consult their advisors before making any investment decision. Coinbase may have financial interests in, or relationships with, some of the assets, entities and/or publications discussed or otherwise referenced in the materials. Certain links that may be provided in the materials are provided for convenience and do not imply Coinbase's endorsement, or approval of any third-party websites or their content. Any use, review, retransmission, distribution, or reproduction of these materials, in whole or in part, is strictly prohibited in any form without the express written approval of Coinbase. Coinbase, Inc. is licensed to engage in virtual currency business activity by the New York State Department of Financial Services.



© Coinbase 2024 | Coinbase Custody International Limited
70 Sir John Rogerson's Quay | Dublin 2 | D02 R296 | Ireland
www.coinbase.com
[Get in touch](#)

[Unsubscribe](#) from future editions of this type of message.